

Riverside Christian Academy

5-Year Financial Overview for Board Review

Prepared May 14, 2026

Built from actuals

 **Financial Outlook: The school's financial outlook is strong.**

8 health dimensions are in good standing.

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This summary is generated from the school's financial model for board discussion purposes.

Board Commentary

Trustees, this update is a snapshot of where Riverside Christian Academy stands financially as of today, drawn directly from the canonical model that the dashboard and lender packet share. We are planning for 200 students in Year 1, growing to 400 by Year 5 within a building capacity of 400 seats, holding a 92% year-over-year retention assumption. Growth funds the mission; the rest of this commentary frames how the financial picture supports it.

The model keeps cash positive across all five years, and operating reserves reach roughly 30 months by Year 5. Operating break-even is reached in Year 1.

On the same basis a lender will use, Year 1 debt service coverage is 6.37x. The packet currently reads as: Ready to share - keep polishing the narrative. This model demonstrates strong financial fundamentals: a clear path to net income, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

No critical or high-severity issues are flagged this period. The risk section below documents the watch items the team is tracking proactively.

Strong Year 5 net income Where the board can help: Address Cash Reserve Deficit from Prior Year.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Financial Outlook at a Glance

 **Financial Outlook: The school's financial outlook is strong.**

 **Health** dimensions are in good standing.

 **Cash Position: Cash remains positive through the full 5-year projection**

Assumptions Confidence

 **ACTUAL**  **: Needs Support** 0% weighted evidence · 0 of 22 tagged
This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

Financial Overview

Riverside Christian Academy projects \$5,259,877 in Year 5 revenue with a 44.7% net margin. The model tells a strong financial story with 12 of 13 key metrics in healthy range, a great foundation for your mission. Cash flow remains positive over the full 5-year period.

[~] Lender Readiness: Strong

[~] Biggest Strength: Strong Year 5 net income

[~] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.

[~] Cash Runway: 60+ months

School Overview

Riverside Christian Academy is a Operating Private School organized as a 501(c)(3) Nonprofit with a Tuition-Based funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$2.5M (47.3% margin).

- Breakeven enrollment**
Breakeven enrollment is 135 students (48% above Year 1 enrollment).
- Prior-year comparison**
Prior-year revenue was \$2.4M; Year 1 projections represent a -1.4% change.
- Accounting basis**
All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

[+] Revenue per Student (Year 1): \$11,759
[+] Cost per Student (Year 1): \$8,877
[+] Staffing Cost (% of Revenue): 53.8%
[+] Operating Cost (% of Revenue): 16.5%
[+] Net margin (Year 1): 24.5%
[+] Net margin (Year 5): 44.7%

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	\$2.4M	\$1.7M	\$712K	30.1%
Year 2	250	\$3.0M	\$1.9M	\$1.1M	36.7%
Year 3	300	\$3.8M	\$2.2M	\$1.6M	41.4%
Year 4	350	\$4.5M	\$2.5M	\$2.0M	44.7%
Year 5	400	\$5.3M	\$2.8M	\$2.5M	47.3%

Prior-Year Actuals

Prior-year net income was \$200K on revenue of \$2.4M.

Prior-Year Revenue vs Year 1

Category	Prior Year (Actual)	Year 1 (Projected)	Variance
Tuition & Fees	\$0	\$2.4M	—
Public Funding	\$0	\$0	—
Philanthropy	\$0	\$125K	—
Other Revenue	\$0	\$100K	—
Total Revenue	\$2.4M	\$2.4M	-1.4%

Prior-Year Expenses vs Year 1

Category	Prior Year (Actual)	Year 1 (Projected)	Variance
Personnel & Benefits	\$0	\$1.3M	—
Facilities & Occupancy	\$0	\$36K	—
Instructional Supplies	\$0	\$128K	—
Admin & Operations	\$0	\$115K	—
Total Expenses	\$2.2M	\$1.7M	-24.8%

Net Income Comparison

	Prior Year (Actual)	Year 1 (Projected)
Net Income	\$200K	\$712K

Staffing Plan

Staffing costs are \$1.3M in Year 1, representing 53.5% of revenue. This is within the typical 50-60% range.

[+] Staffing % of Revenue: 53.8%

Supporting Assumptions

Head of School **\$95,000, 1 FTE**
Assistant Principal **\$72,000, 1 FTE**
Lead Teachers (K-8) **\$48,000, 12 FTE**
Teaching Assistants **\$30,000, 6 FTE**
Office Manager **\$42,000, 1 FTE**
Counselor **\$55,000, 1 FTE**

Financial Health Assessment

Across 8 health dimensions: 8 healthy, 0 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy
[+] facility burden: Healthy
[+] debt affordability: Healthy
[+] revenue concentration: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 54% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 2% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 6.27x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Healthy	143 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	29.6 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

- [+] Revenue per Student (Year 1): \$11,759
- [+] Cost per Student (Year 1): \$8,877
- [+] Staffing Cost (% of Revenue): 53.8%
- [+] Operating Cost (% of Revenue): 16.5%
- [+] Net margin (Year 1): 24.5%
- [+] Net margin (Year 5): 44.7%

What to Watch

No significant financial risks have been identified at this time.

Recommended Next Steps

1. Plan for Tuition Collection & Discount Risk

Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 95.3% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.

This strengthens the model and reduces future risk.

2. Address Cash Reserve Deficit from Prior Year

Last year ended with \$120,000 in cash, only 0.7 months of expenses. Building reserves to 3+ months should be a priority. Consider a bridge line of credit while growing into net income.

Addressing this will materially improve financial position.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here for the board.

Scenario Comparison

The model includes 2 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Slow Growth (flat enrollment Y2-3)	\$4.5M	\$2.0M	44.2%
Strong Growth (+10% enrollment)	\$5.8M	\$2.9M	49.3%

Grant Version

Thank you for considering Riverside Christian Academy. This narrative is drawn directly from the same canonical financial model the board and any lender would see, so the numbers that follow tie back line for line to our budget. Over the grant horizon we are planning for 200 students in Year 1, growing to 400 by Year 5 while holding a 92% year-over-year retention assumption. Each additional seat funded by this grant translates directly into students served against that mission.

Philanthropic and other donor-dependent support currently represents about 5% of our Year 1 revenue mix. Grant funding is what bridges the gap between our enrollment ramp and operating sustainability - without it the model would not reach the trajectory described above. The plan does not assume any single funder closes that gap on their own; instead, it relies on a portfolio of grants and earned revenue that grows year over year.

The model holds positive operating cash across all five years, with operating reserves reaching roughly 30 months by Year 5. Operating break-even is reached in Year 1, which is the point at which earned revenue alone would cover operating expenses.

No critical or high-severity issues are flagged at this time; the watch items the team is tracking are documented in the body of the model.

Strong Year 5 net income The most immediate use of grant funding would support Address Cash Reserve Deficit from Prior Year. We are happy to walk through any line of the model in detail with the funder.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 7.38x · Min ending cash \$817,688 · Runway 60.0 mo**

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 6.36x · Min ending cash: \$705,921 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$111,767

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: 5.06x · Min ending cash: \$563,518 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$254,170

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed) to simulate a slow first disbursement.

Min DSCR: 7.38x · Min ending cash: \$817,688 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: +\$0

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 7.30x · Min ending cash: \$808,688 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$9,000

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.

Min DSCR: 6.37x · Min ending cash: \$817,688 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$110,203

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5	
As planned (reported)	\$95,000	\$97,850	\$100,786	\$103,809	\$106,923	
Fully-loaded (incl. benefits + payroll tax)	\$123,168	\$126,863	\$130,669	\$134,588	\$138,626	
Market rate (normalized)	\$180,000	\$185,000	\$244,000	\$251,000	\$259,000	\$
Fully-loaded (incl. benefits + payroll tax)	\$233,370	\$239,853	\$316,346	\$325,422	\$335,794	\$
Lender adjustment (market - planned)	\$110,203	\$112,990	\$185,677	\$190,833	\$197,168	

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.